share of employment in agriculture will fall to 40 per cent by 2020 (the same level as that of China in 2010). Population in the working age group will grow based on projections by the UN Population Division.

ii. Assuming the labour force participation rate and the unemployment rate to be unchanged at 2010 levels, 2.8 million jobs will be missing by 2020.

iii. To put this in perspective, this will only be 0.5 per cent of the labour force. While any shortfall in jobs is problematic, there does not seem an immediate cause for alarm.

There are a large number of assumptions which go into this estimate. For instance, labour force participation is pegged at the 56 per cent rate, the same as in 2010. If instead, more women enter the labour force, reversing the declining trend since 2000, the labour force participation rate could plausibly increase to 58 per cent by 2020. This is lower than the 60 per cent rate in 2000, but even with this conservative assumption, the number of missing jobs increases to 16.7 million, roughly six times that in the baseline scenario, and 3.7 per cent of overall employment in 2010. Finally, if the official unemployment is projected to decrease, say by 2 percentage points, over the next decade, again that would imply the need to employ a larger number of workers. The number of *missing jobs* in 2020 under this higher expected employment scenario is estimated at 11.8 million or four times that in the baseline scenario.

The back-of-the-envelope calculations done above should be taken as just starting point for more careful investigation. While a simple extrapolation of existing trends suggests India can absorb the labour exiting agriculture even if exits increase to the level experienced by China, there is no room for complacency. Minor changes in assumptions lead to tens of millions of additional jobs needed. So even while policymakers focus on making jobs more productive, India also needs more jobs than suggested by current trends so as to have a sufficient buffer.

REASONS BEHIND LESS CREATIVE JOBS